IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI
COURT-V

Item No.-305

CP (CAA) No.-20/230/232/ND/2022(2nd Motion)

IN THE MATTER OF:

Jet Hotels Pvt. Ltd. And Jetair Business Solutions Pvt. Ltd. **....Applicant**

SECTION

U/s 230-232 **Order delivered on 18.08.2023**

CORAM:
SHRI P.S.N PRASAD,
HON'BLE MEMBER (JUDICIAL)

DR. BINOD KUMAR SINHA,
HON'BLE MEMBER (TECHNICAL)

ORDER

Order pronounced in open court vide separate sheets.

CP (CAA) No.-20/230/232/ND/2022 stands allowed.

Sd/- **Sd/-**

(DR. BINOD KUMAR SINHA) **(P.S.N PRASAD)**
MEMBER (T) **MEMBER (J)**

IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH
COURT-V
C.P.(CAA) 20/ND/2022
WITH
C.A.(CAA) 82/ND/2021

Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

In the matter of:

M/s. Jet Hotels Private Limited

...Petitioner No. 1/Transferor Company No. 1

M/s. Jetair Business Solutions Private Limited

... Petitioner No.2 /Transferor Company No. 2

M/s. JetMobility Private Limited

... Petitioner No.3 /Transferor Company No. 3

M/s. Jetair Tours Private Limited

... Non- Petitioner /Transferor Company No. 4

M/s. Jetair Private Limited

... Petitioner No.4 /Transferee Company

Order Delivered on: 18.08.2023

CORAM:
SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)
DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant : Mr. Rajeev K.Goel, Adv., Mr. Ajit Singh Tawar, Adv., Mr. Kartikeya Goel.

For the OL : Ms. Hemlata Rawat, Adv.
For the RD : Ms. Shankari Mishra, Adv.

ORDER
PER: SH. P.S.N. PRASAD, MEMBER (JUDICIAL)

1. The present Company Scheme Petition is jointly filed by the Petitioner Companies viz., M/s. **Jet Hotels Private Limited** (Petitioner No. 1/Transferor Company No. 1), M/s. **Jetair Business Solutions Private Limited** (Petitioner No.2/Transferor Company No. 2), M/s. **JetMobility Private Limited'** (Petitioner No.3/Transferor Company No. 3), M/s. Jetair Tours Private Limited (Non-Petitioner/Transferor Company No.4) and M/s. **Jetair Private Limited** (Petitioner No. 4/Transferee Company) and their respective Shareholders under Section 230-232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, and the National Company Law Tribunal Rules, 2016, for the purpose of the Sanction of the proposed Scheme of Amalgamation between the Transferor Companies with Transferee Company. The copy of the Scheme of Amalgamation (hereinafter referred as the "Scheme") has been placed on record as Annexure –A1 to the Company Scheme Petition.

2. The Petitioner No.1/Transferor Company No. 1 i.e. M/s. **Jet Hotels Private Limited** was incorporated on 29.09.1981 under the provisions of the Companies Act 1956 bearing CIN: U55200DL1981PTC347097 having its registered office at Jetair House, 13 Community Center, Yusuf Sarai, New Delhi -110049. The Authorized Capital is Rs. 10,00,000/- divided into 10,000 equity shares of Rs. 100/- each. The issued, subscribed and paid-up share capital of the company is Rs. 10,00,000/- divided into 10,000 equity shares of Rs. 100 each.

3. The Petitioner No. 2/Transferor Company No. 2 i.e. M/s. **Jetair Business Solutions Private Limited** was incorporated on 07.10.2004 under the provisions of the Companies Act, 1956 bearing CIN: U74140DL2004PTC349744 having its registered office at Jetair House, 13 Community Center, Yusuf Sarai, New Delhi -110049. The Authorised Capital is Rs.1,00,00,000 divided into 10,00,000 equity shares of Rs. 10/-

each. The issued, subscribed and paid-up share capital of the company is Rs. 1,00,00,000/- divided into 10,00,000 equity shares of Rs. 10 each.

4. The Petitioner No. 3/Transferor Company No. 3 i.e. **M/s. JetMobility Private Limited** was incorporated on 20.03.2018 under the provisions of the Companies Act, 2013 bearing CIN: U63030DL2018PTC380930 having its registered office at Jetair House, 13 Community Center, Yusuf Sarai, New Delhi -110049. The Authorised Capital is Rs.4,50,00,000 divided into 45,00,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the company is Rs.3,40,00,000/- divided into 34,00,000 equity shares of Rs.10 each.

5. The Petitioner No.4/Transferee Company i.e. **M/s Jetair Private Limited** was incorporated on 19.07.1974 under the provisions of the Companies Act, 1956 bearing CIN: U74899DL1974PTC007361 having its registered office at Jetair House 13 Community Center, Yusuf Sarai, New Delhi - 110049. The Authorized Capital is Rs. 5,00,00,000 divided into 5,00,000 equity shares of Rs. 100/- each. The issue, subscribed and paid-up share capital of the company is Rs.2,98,80,000/- comprised of (i) Rs.2,80,80,000/- divided into 2,80,800 Class A equity shares of Rs. 100 each and (ii) Rs.18,00,000/- divided into 18,000 Class B equity shares of Rs.100 each.

6. The Non-Petitioner Company/Transferor Company No.4 i.e., M/s. Jetair Tours Private Limited was incorporated on 17.12.1990 under the Companies Act 1956 bearing CIN: U63040MH1990PTC059439 and has its Registered Office situated at 41/42, Fourth Floor, Maker Chamber III, Nariman Point, Mumbai- 400021, Maharashtra, India. Since, the registered office of the Transferor Company No.4 is situated in the state of Maharashtra, the Transferor Company No.4 does not fall within the jurisdiction of this Tribunal.

7. The Petitioner Companies submit that the proposed scheme of amalgamation of the Transferor Companies and Transferee Company would have the following benefits: -

   I. The Amalgamating Companies are wholly-owned subsidiaries of the Amalgamated Company. In order to consolidate and simplify the group structure and effectively manage the Amalgamating Companies and Amalgamated Company as a single entity, which will provide several benefits including streamlined group structure by reducing the number of legal entities, reducing the multiplicity of legal and regulatory compliances, rationalising costs, it is intended that the Amalgamating Companies be amalgamated with the Amalgamated Company.

   II. The amalgamation of the 5 companies would inter alia have the following benefits:

   1. The merger will result in economies of scale, reduction in overheads including administrative, managerial and other expenditure, operational rationalization, organizational efficiency and optimal utilization of resources;
   2. The merger will result in a significant reduction in the multiplicity of legal and regulatory compliances required at present to be carried out by both the Amalgamating Companies and the Amalgamated Company;
   3. Consolidating and improving the internal control systems and procedures which will bring greater management and operational efficiency due to integration of various similar functions being carried out by the entities such as human resources, finance, legal, management etc;
   4. Simplification of group structure

8. The appointed date as fixed for the proposed scheme of Amalgamation is 1st April, 2021.

9. This Tribunal vide order dated 29.04.2022 had directed the Petitioner Companies to place on record the Final Hearing order dated 20.04.2022 of the NCLT, Mumbai in the matter of amalgamation of the Non-Petitioner Company ('Transferor Company No. 4') with the Petitioner Companies. The Petitioner Companies in compliance of the order dated 29.04.2022 had

submitted affidavit dated 26.05.2023 for placing on record the final order dated 20.04.2022 passed by the Hon'ble NCLT, Mumbai in C.P.(CAA)/229/V/2021 in the matter of amalgamation of the Non-Petitioner Company ('Transferor Company No. 4') with the Petitioner Companies.

10. From the records, it is seen that the First Motion joint applications was filed before this Tribunal vide CA(CAA)82/230/232/ND/2021. This Tribunal after hearing the Applicant Companies, vide order dated 17.01.2022, had passed the following orders:-

    (i) The Meeting of the Equity shareholders of all the Petitioner Companies were dispensed with in view of the fact that; all the shareholders of the Petitioner Companies had given their consent affidavits.
    (ii) there were no Secured Creditors in the Petitioner Companies, therefore the meeting of Secured Creditors of all the Petitioner Companies was not required to be convened.
    (iii) the meetings of Unsecured Creditors of all the Petitioner Companies were dispensed with, in view of the fact that 90% or more of the unsecured creditors had given their consent affidavit.

11. This Tribunal vide its order dated 24.02.2022 had directed the Petitioner Companies to carry out publication of the next date of hearing of the Petition in the newspapers and to serve notice of the petition to the statutory authorities and sectoral regulators as may be applicable.

12. It is seen from the records that the Petitioner Companies have filed an Affidavit of Service and Publication dated 25.03.2022 affirming compliance of the order dated 24.02.2022 and disclosing that the Petitioner Companies have published the notice of hearing of the Company Petition in two newspapers viz. "Business Standard" in English language and translation thereof in "Business Standard" in Hindi language, both having wide circulation in Delhi as per Rule 16 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

13. Further, it is observed that the Petitioner Companies have served notices upon the (i) Central Government through Regional Director (Northern region), Ministry of Corporate Affairs, via hand delivery on 11th day of March, 2022; (ii) Registrar of Companies, NCT of Delhi & Haryana, Ministry of Corporate Affairs via hand delivery on 14th day of March, 2022; (iii) Official Liquidator, Delhi via hand delivery on 11th day of March, 2022; (iv) Income Tax Authority via hand delivery on 10th day of March, 2022.

14. Pursuant to the notice issued, the Regional Director and Official Liquidator and Income Tax Department, have filed their respective response/reply in the matter.

15. The Regional Director (RD) in its report dated 01.07.2022 has made certain observations with regard to the proposed scheme of Amalgamation among the Petitioner Companies. The Petitioner Companies had filed reply dated 08.07.2022 in response to the observations made by the Regional Director, under wherein the Petitioner Companies gave clarifications and undertaking to address the observations made by the Regional Director. The details of which are summarized below:

Observations	**Observations of the Regional Director vide report dated 01.07.2022**	**Reply of the Petitioner Companies vide affidavit dated 08.07.2022**
11(i)	As per Clause 13, Part B of the proposed Scheme, the authorized share capital of the Transferor Companies will get merged to form new Authorized Share capital of the Transferee Company. In this regard, the Transferee company, in accordance with section 232(3)(i) of the Companies Act, 2013, if there is any difference in the fees, is required to pay the same on increase in Authorized Capital, in accordance with provisions of	The Petitioner Companies undertake to comply with section 232(3)(i) of the Act and affirm that the Transferee Company shall pay the difference of fees and stamp duty on its authorised capital after set-off against fees and stamp duty paid by the Transferor Companies on its authorised capital

	the Act.	subsequent to amalgamation.
11(ii).	All Transferor Companies are wholly owned subsidiaries of the Transferee Company & no shares of Transferee Company are being issued in exchange of its holding in Transferor Companies.	The Petitioner Companies affirm that as mentioned in clause 10 of the aforesaid Scheme, the Amalgamating Companies are wholly owned subsidiaries of the Amalgamated Company. As a result, upon the scheme become effective, no shares of the Amalgamated Company shall be allotted in lieu or exchange of its holding in the Amalgamating Companies and the entire issued, subscribed and paid up capital of the Amalgamating Companies shall stand cancelled.
11(iii)	In case of Transferor Company No. 1, as per the Financial Statements for FY 2020-21 submitted along with the petition, it is observed that the Auditors have laid emphasis on the fact that thought the operations of the company have ceased, the financials have been prepared on a Going Concern basis to facilitate the	The Transferor Company 1 states that the business of the Transferor Company 1 had ceased to continue, but the accounts of the Company were prepared as per the Going Concern Principles, as the aforesaid companies were planning to Amalgamate under Sections 230 to 232, of the

	ongoing petition for amalgamation of applicant companies.	Companies Act 2013 and other applicable provisions of the Act which was duly incorporated into the Director's report prepared by the said Petitioner Company. The said Scheme of Amalgamation was filed on July 2, 2021 with NCLT New Delhi Bench and NCLT Mumbai Bench. The Appointment date for the said scheme being April 1, 2021.
11(iv)	As per the Financial Statements for FY 2020-21 of the Transferor Company No. 1 submitted along with the petition, it is observed that a huge expense of Rs. 10.8 Crores was booked as 'Provision for Doubtful Advances' for the first time during FY2019-20. This loan is shown to have been advanced to India Capitol Resource Services Private Limited and is pending since FY 2018-19. It was also observed that the same company i.e., India Capitol Resource Services Private Limited has provided loans to the Transferee	The Transferor Company 1 states that the particulars of the loan were provided by the Management of the Transferor Company 1 in its Board report for the FY 2020-21 and same is not part of qualifications made by Auditor. Further, the Company predicted that the said loan might become doubtful in due course of time and thus created a provision for the said in line with the accounting standards. The Transferor Company 1 has also received a request for

	Company for which the Transferee Company has not provided interest amounting to Rs. 1,47,37,616 on the borrowings. This is not in accordance of AS-5 & AS-16, and the Auditors have qualified the same in their report. Had the company followed the said principles & accounting standards, the finance cost & consequently the loss before tax would have been higher.	restructuring the said loan and the same is under consideration. Further, with respect to non-provision of interest component by the Transferee Company on the loan taken by them from India Capitol Resources Private Limited, the explanation is more expressly detailed in the Director's Report for FY 2020-21. Further, the Company has also requested for waiver of the said interest, which is under discussion and thus it wasn't provided for, in the year 2020-21. The Transferee Company also undertakes to abide by the accounting standards or any other directions as may be issued.
11(v)	As per the Financial Statements for FY2020-21 of the Transferor Company No. 2 submitted along with the petition, it is observed that the Auditors have laid emphasis on the fact that though the operations of the company have ceased, the financials have been prepared	The Transferor Company 2 states that the business of the Transferor Company 2 had ceased to continue, but the accounts of the Company were prepared as per the Going Concern Principles, as the aforesaid companies were planning to Amalgamate under Sections 230 to 232, of

	on a Going Concern basis to facilitate the ongoing petition for amalgamation of applicant companies.	the Companies Act 2013 and other applicable provisions of the Act which was duly incorporated into the Director's report prepared by the said Petitioner Company. The said Scheme of Amalgamation was filed on July 2, 2021 with NCLT New Delhi Bench and NCLT Mumbai Bench. The Appointment date for the said scheme being April 1, 2021.
11(vi)	As per the Financial Statements for FY 2020-21 of the Transferor Company No. 2, it is observed that the company has not provided interest amounting to Rs. 70,10,751 on borrowings of Rs. 7.01 Crores from the Transferee Company citing 'restructuring process'. This is not in accordance of AS-5 & AS-16, and the Auditors have qualified the same in their report. Had the company followed the said principles & accounting standards, the finance cost & consequently the loss	The Transferor Company 2 states that, with regards to non-provision of interest by the Transferor Company 2, a detailed explanation is provided in the Board's Report for the FY 2020-21. Further, for reasons as mentioned in the said report, the Company has also requested for waiver of the said interest and the same has been provided by the Transferor Company 2. The Transferor Company 2 also undertakes to abide by the accounting standards or any other

	before tax would have been higher.	directions as may be issued.
11(vii)	As per the Financial Statements for FY 2020-21 of the Transferor Company No. 4 submitted along with the petition, it is observed that the Auditors have laid emphasis on the fact that though the entire net worth of the company stands eroded due to losses incurred so far, the financials have been prepared on a Going Concern basis to facilitate the ongoing petition for amalgamation of applicant companies	The Transferor Company 4 states that, the business of the Transferor Company 4 had ceased to continue, but the accounts of the Company were prepared as per the Going Concern Principles, as the aforesaid companies were planning to Amalgamate under Sections 230 to 232, of the Companies Act 2013 and other applicable provisions of the Act which was duly incorporated into the Director's report prepared by the said Petitioner Company. The said Scheme of Amalgamation was filed on July 2, 2021 with NCLT New Delhi Bench and NCLT Mumbai Bench. The Appointment date for the said scheme being April 1, 2021.
11(viii)	As per the Notes to Accounts of the Financial Statement for FY 2020-21 of the Transferor Company No. 4, the company has not provided interest amounting to Rs. 1,55,14,308	The Transferor Company 4 states that, with regards to non-provision of interest by the Transferor Company 4, a detailed explanation is provided in the Board's

	on the borrowings taken from the Transferee Company citing 'restructuring process. During the previous FS 2019-20, the company interest had not provided amounting Rs. 1,44,95,040. This is not in accordance of AS-5 & AS-16, and the Auditors have qualified the same in their report. Had the company principles followed & the accounting consequently the loss before tax would have been higher.	Report for the FY 2020-21. Further, for reasons as mentioned in the said report, the Company has also requested for waiver of the said interest and the same has been provided by the Transferor Company 4. The Transferor Company 4 also undertakes to abide by the accounting standards or any other directions as may be issued.
11(ix)	As per the Notes to Accounts of the Financial Statement for FY 2020-21 of Transferee Company, the said Transferee company has not provided interest amounting to Rs.4,32,877 on the borrowings from Jet Enterprises Private Limited, which was waived off by the latter as stated in the financial statements of the Transferee Company. This is not in accordance of AS-5 & AS-16, and the Auditors have qualified the same in their report. Had the company	The Transferee Company states that with regards to non-provision of interest by the Transferee Company on borrowings from Jet Enterprises Private Limited, a detailed explanation is provided in the Board's Report for the FY 2020-21. Further, for reasons as mentioned in the said report, the Company has also requested for waiver of the said interest and the same has been provided by Jet Enterprises Private

	followed the said principles & accounting standards, the finance cost & consequently the loss before tax would have been higher.	Limited. The Transferee Company also undertakes to abide by the accounting standards, or any other directions as may be issued.
11(x)	As per the Notes to Accounts of the Financial Statement for FY 2020-21 of Transferee Company, the said Transferee company provided Rs. 15 Crores to an undisclosed party, following an MOU wherein it is stated that the undisclosed party shall provide suggestions to Transferee Company based on which Transferee Company will decide whether to actually invest in gold & other businesses. This amount is shown as 'Advance for Investment' & the amount was still lying with the undisclosed party. The Transferee Company has not received any interest/return on this amount. The Auditors have qualified the same in their report as prejudicial to the interest of the company. This	The Transferee Company states that, with regards to transaction entered pursuant to an MOU for an amount of Rs. 15 crores, the said amount was provided in order to receive suggestions so as to decide on whether to proceed with investing the said amount in gold and various other businesses as provided in the Director's Report for FY 2020-21, the Transferee Company has invested the said amount to look for suitable options as due to covid the travel industry was severely affected, as the gold industry and even other industries weren't performing well due to pandemic and therefore the said amount

	very year, the company has also disclosed to have taken Rs. 15 Crores from Related Parties as Interest Free Loan to the company. The management has not provided any reasonable explanation to this & the said transaction is highly doubtful.	wasn't called for by the Transferee Company and the same is not prejudicial to the company. Further, the Company submits that, with regards to Interest Free loan taken from related parties of an amount of Rs. 15 Crores, the contention that the Management has not provided any reasonable explanation stands void as the same has been provided by the Company in the Deposit Section of the Directors Report for FY 2020-21 of the Transferee Company wherein they have disclosed the entire transaction and the said amount to be treated as unsecured loan from the related parties, taken their declaration and also ensuring compliance with relevant sections of Companies Act, 2013.
11(xi)	In case of Transferee Company,	The Transferee Company

	the Auditors have laid emphasis on a transaction entered by the company in FY 2018-19, into a property project with an undisclosed builder along with family/relatives of the Directors. The company had invested Rs. 20 Crores in the project during FY 2018-19. As per the FS for FY 2020-21, the project was cancelled, and Transferee Company booked a loss of Rs. 10 Crores, i.e., 50% of the total amount invested. Simultaneously, Transferee Company also discloses a 'Capital Advance' of Rs. 10 Crores during same FY 2020-21 for booking of 4 flats with an undisclosed builder. The transactions appear in the Emphasis of Matter section reported by the Auditors & appear to be circuitous.	states that, with regards to the transaction entered into by the Transferee Company with a property builder, the contention that the party is undisclosed stands void as the entire transaction entered into by the Company along with its relatives and also the name of the builder with whom the said transaction was entered is provided for in the Deposit Section of the Directors Report for FY 2020-21. Further, the loss suffered on cancellation was pursuant to a Memorandum of Cancellation entered into by the Company as provided in the Directors Report by the said Company. Further, the Company had entered into MOU for purchase of four flats, as a part of its activity to invest in properties pursuant to which it has given capital advance amounting to Rs.10 Crores during

		financial year 2020-21.
11(xi)	In case of Transferee Company, the Auditors have laid emphasis on a transaction entered by the company in FY 2018-19, into a property project with an undisclosed builder along with family/relatives of the Directors. The company had invested Rs. 20 Crores in the project during FY 2018-19. As per the FS for FY 2020-21, the project was cancelled, and Transferee Company booked a loss of Rs. 10 Crores, i.e., 50% of the total amount invested. Transferee Company also discloses a 'Capital Advance' of Rs. 10 Crores during same FY 2020-21 for booking of 4 flats with an undisclosed builder. The transactions appear in the Emphasis of Matter section reported by the Auditors appear to be circuitous.	The Transferee Company states that, with regards to the transaction entered into by the Transferee Company with a property builder, the contention that the party is undisclosed stands void as the entire transaction entered into by the Company along with its relatives and also the name of the builder with whom the said transaction was entered is provided for in the Deposit Section of the Directors Report for FY 2020-21. Further, the loss suffered on cancellation was pursuant Memorandum to a of The Cancellation entered into by the Company as provided in the Directors by the said Company. Further, the Company had entered into MOU for purchase of four flats, as activity a part of its to invest in properties pursuant to which it has given capital advance amounting to Rs. 10 Crore

		during Financial Year 2020-2021.
11(xii)	In case of Transferee Company, the company disclosed to have given advances of Rs. 5.8 Crores Limited to Jetfleet Private whose business operations ceased during FY 2018-19. The said advance has been marked doubtful and provisions equalling the amount has been provided by the company. Yet, the company discloses to have given loans to Transferor Company No. 4 in FY 2019-20 on account of a 'business purchase' from the defunct Jetfleet Private Limited. This loan has been shown to be doubtful from FY 2019-20 onwards itself, which raises the doubt on the intention of advancing such a loan.	The Transferee Company states that the Transferee Company had given loan to Jetfleet Private Limited over a period of years and as on FY 2018-19 it stood at Rs.5.8 crores but the Loan to Transferor Company 4 in the books is effect of entering into Business Transfer Agreement between JetMobility Private Limited and Jetfleet Private Limited, wherein the Transferor Company 4 has agreed to take over all the Assets and Liabilities of Jetfleet Private Limited to effectuate the Slump Sale Transaction.
11(xiii)	The Transferee Company discloses to have received letter dated 17.09.2019 from Serious Fraud Investigation Office (SFIO) seeking information/documents from the company. The company claims to have provided the same, and the matter appears to	The Transferee Company states that the grant of approval if any of the proposed scheme will in no way affect the pending investigation. It is submitted that the amalgamated company shall after the

	be pending before the SFIO, whose views may be sought.	merger, be liable to face the outcome of the proceedings or action taken in this regard. Further, any arrangement or amalgamation of the company and its members shall not in any manner affect the pending proceedings and the amalgamated company in all practical purpose is liable to answer the same. Pendency of any proceedings or investigation shall not be a bar to grant approval of the scheme which otherwise satisfies other legal requirements. Further, the Company has submitted all the information as required by SFIO vide their letter dated 17.09.2019.
11(xiv)	The Transferee Company discloses that Naresh Goyal, former Director of the Transferee Company, received a letter dated 18.09.2019 from the Enforcement Directorate (ED) seeking information/documents in respect of all the companies	The Transferee Company states that the letter received from ED is received by the former Director of the Company in the matters of Jet Airways India Ltd. The Transferor Companies or the Transferee Company involved in the present

	of the Jetair Group, including the applicant companies in the present petition. The views of ED may be sought.	Scheme of Amalgamation have not received any letter or notice from ED.

16. The observations made by the Regional Director in its Report have been strenuously argued by the Learned Counsel for Petitioner Companies, wherein it was submitted as follows:-

A) That the Transferee Company (Petitioner Company No.4) have received letter dated 17.09.2019 from Serious Fraud Investigation Office (SFIO) seeking information/documents from the company, which were dully provided by the Petitioner Company No.4.

B) That the sanctioning of the present Scheme of amalgamation of the Petitioner Companies and its members shall not in any manner affect the pending proceedings and the amalgamated company in all practical purpose is liable to answer the same.

C) Further, the Petitioner Company No.4 ('Amalgamated Company') submits that Clause 7.1 and 7.2 of the Scheme of Amalgamation provides that all the legal, taxation and other proceedings pending against the Amalgamating Companies shall not be abated or discontinued and shall be continued and enforced against the Amalgamated Company. The relevant Clause 7.1 and 7.2 of the Scheme of Amalgamation is reproduced below for ready reference: -

> LEGAL, TAXATION AND OTHER PROCEEDINGS
> 7.1 Upon the coming into effect of this Scheme, all legal, taxation or other proceedings, whether civil or criminal (including before any statutory or quasi-judicial authority or tribunal), by or against the Amalgamating Companies, under any statute, whether pending on the Appointed Date or which may be instituted any time thereafter, shall be continued and enforced by or against the Amalgamated Company

after the Effective Date. The Amalgamated Company shall be substituted as party to such proceedings and shall prosecute or defend such proceedings as if it were the relevant Amalgamating Companies
7.2 Amalgamated Company undertakes to have all legal or other proceedings initiated by or against Amalgamating Companies referred to in Clause 7.1 above mutated to its name as soon as is reasonably possible after the Effective Date and to have the same continued. prosecuted and enforced by or against Amalgamated Company as if the proceedings at all times pertained to the Amalgamated Company Amalgamated Company shall be deemed to be authorised to execute any such writings and to carry out at perform all such formalities or compliances refitted to above on the part of Amalgamating Companies to be carried out or performed."

D) In the matter of ***Brooke Bond Lipton India Ltd. V. State of Assam,*** before Hon'ble High Court of Gauhati (MANU/GH/0578/2004:2004(3) GLT 444), it was held that:

(i) A criminal proceeding shall not abate ipso facto on merger or amalgamation of a company.
(ii) The question against whom the prosecution would continue shall depend upon the terms and conditions of merger/ amalgamation;
(iii) A pending criminal prosecution cannot be thrown overboard by subsequent dissolution/ amalgamation or merger or merger of a firm We, therefore, hold that the petitioner company is not entitled to the benefit of abatement of proceedings against it on the ground of the Amalgamation.

E) That Hon'ble ***Gujrat High Court in Re: C.M. Smith and Sons Ltd., 2008 SCC Online Guj 249: (2008) 146Comp Case 359: (2009)88 CLA 137,*** held that criminal prosecution/ legal proceedings, if any are initiated against any of the transferee companies or the directors of any of the transferor companies, the order sanctioning the scheme of amalgamation of the companies with the transferee company shall not come in the way of such proceedings. The fact of amalgamation shall not give any immunity for such past deeds.

17. We have heard the counsels for the petitioner companies and also considered the representation made by the Regional Director, (NR). From

the material on record and after perusing the clarifications and submissions of the Petitioner Companies to the Report of the RD, the Scheme appears to be fair and reasonable and does not violate any provisions of law and is not contrary to public policy.

18. The Income Tax Department had filed its report dated 27.04.2022 wherein it submitted that any sanction to the Scheme of Merger under Section 230 of the Companies Act, 2013 should not adversely impact the rights of the Income Tax Department for any present or future proceedings and the department should be at liberty to take appropriate action as per law in case of an event of any tax avoidance or violation of Income Tax Law or any other similar issue.

19. The Petitioner Companies had in its reply dated 03.03.2023 to the Income Tax Report had submitted that pursuant to clause 5.2.5 and clause 5.2.6 (Part-B) of the Scheme of Amalgamation, the Amalgamated Company / Petitioner 4 Company, shall be liable to bear the Income Tax Liability, if any, of the Amalgamating Companies. The relevant Clause 5.2.5 and 5.2.6 of the Scheme of Amalgamation is reproduced below for ready reference: -

> "5.2.5. All taxes (including but not limited to advance tax, tax deducted at source, minimum alternate tax credits, securities transaction tax, input tax credit, taxes withheld paid in a foreign country, if any, goods and services tax, tax collected at source, etc.) payable by or refundable to or being the entitlement of the Amalgamating Companies, including all or any refunds or claims shall be deemed to be those of, shall become and shall be treated as the tax liability or refunds/ credits/claims, as the case may be, of the Amalgamated Company, and any tax incentives, advantages, privileges, exemptions, rebates, credits, remissions, reductions and/or any other benefit, as would have been available to the Amalgamating Companies, shall pursuant to the Scheme becoming effective, be available to the Amalgamated Company.
>
> 5.2.6. Any tax liabilities under the income tax, customs, goods and services tax, or other applicable laws/regulations dealing with taxes/duties/levies allocable or related to the business of the Amalgamating Companies shall be transferred to the

Amalgamated Company. Any surplus is the provision for taxation/duties/levies account including advance tax and tax deducted at source (TDS) as on date immediately preceding the Appointed Date will also be transferred to the account of the Amalgamated Company." M/s. Jetair Private Limited undertakes that the tax demands pending or may arise will be paid by the Amalgamated Company as per law, subject to its right to appeal and other remedies available in law.

20. The Petitioner Companies had also submitted affidavit cum undertaking for the Income Tax dues wherein the respective copies of the Income Tax Returns of the last three Financial Years i.e.,2019-2020 to 2021-2022 of the Petitioner Companies were placed on record.

21. The Official Liquidator has filed its report dated 11.05.2022, wherein, it was submitted that no complaint from any shareholders, creditors and other stakeholders of the respective companies with regard to the proposed scheme of Amalgamation till the date of filing of this Report. Further, during the course of arguments, the Learned Counsel for the Official Liquidator was present and submitted that they have no objections to proceed with the proposal of the Petitioner Companies.

22. Further, considering the reply of the Petitioner Companies and further, the undertaking of the Petitioner Companies with respect to the observations and clarifications, we find no impediment in approving the present scheme of amalgamation.

23. In this petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 is pending against the Petitioner Company No.1, 2 and 3. Further, the Petitioner Company No.4 had submitted affidavit dated 16.02.2023 that SFIO vide letter dated 17.09.2019 had required certain documents, information from the Petitioner No.4 Company and the same fact is disclosed in point 2.40 of

the notes to accounts of Financial Statements for the year ended 31st March, 2020.The Petitioner No.4 Company further submitted that the notice from the SFIO was in regard to investigation into the affairs of Jet Airways (India) Limited and six other Companies under Section 212 of the Companies Act, 2013 and the information was called from the Petitioner Company No.4 pursuant to Section 217(2) of the Companies Act, 2013. The Petitioner No.4 Company had placed on record the SFIO notice issued to the Petitioner No.4 Company under Section 217(2) of the Companies Act, 2013 and reply thereof as submitted by the Petitioner No.4 Company. Prima facie, the notice is in relation to investigation into the affairs of Jet Airways (India) Limited and six other companies, for which certain information has been sought from the Petitioner No.4 Company.

24. Certificates of Statutory auditor of the petitioner companies, has been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies Accounts Rules, 2014 and Companies (Accounting Standards) Amendment Rules, 2016, and other generally accepted accounting principles in accordance with the Companies Act, 2013, as applicable.

25. The shareholders of the petitioner companies are the best judges of their interest, being fully conversant with market trends, and therefore, their decision should not be interfered with by the Tribunal for the reason that it is not a part of the judicial function to examine entrepreneurial activities and their commercial decisions. It is well settled that the Tribunal evaluating the Scheme, of which sanction is sought under Section 230-232 of the Companies Act of 2013, will not ordinarily interfere with the corporate decisions of companies as approved by shareholders and creditors.

26. It has also been affirmed in the petition that the Scheme is in the interest of all the Petitioner Companies including their shareholders, creditors, employees and all concerned. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, there appears to be no impediment in sanctioning the present Scheme.

27. Consequently, sanction is hereby granted to the Scheme under Section 230 to 232 of the Companies Act, 2013 with the following directions: -

(i) The Petitioners shall always remain bound to comply with the statutory requirements in accordance with law.

(ii) Notwithstanding the sanction, if there is any deficiency found or, violation committed, qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken in accordance with the law, against the concerned persons, directors and officials of the petitioners.

(iii) While approving the Scheme as above, we further clarify that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

28. This tribunal further directs with respect to all the Transferor companies and the Transferee company, that:

(i) The Appointed Date of the Scheme shall be 01.04.2021.

(ii) Upon the sanction becoming effective from the appointed date as provided under the scheme, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(iii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be

enforced by or against it as fully and effectually as if, instead of the Transferor Company, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favorable than those on which they are engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi) All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vii) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

29. While approving the Scheme as above, we further clarify that the scheme of amalgamation is considered by this bench on its merits without diluting the proposed legal action by the SFIO, Ministry of Corporate Affairs or any other competent authority. Further, the present order of sanctioning the scheme of amalgamation will not give any immunity for past deeds of the transferee companies or their directors or officers either in their official or personal capacity as the case may be and hence the proceedings that are initiated or may be initiated under the provisions of this Act or any other law for the time being in force would not be effected by the present order of sanctioning the scheme of amalgamation.

30. Further, the Petitioner Companies shall within thirty days of the date of the receipt of this order, cause a certified copy of this order to be delivered to the

Registrar of Companies for registration and on such certified copy being so delivered, the Transferor companies shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

31. In compliance with the requirement of Section 232 (7) of the Act, the transferee company shall until the full implementation of the Scheme of Amalgamation shall file a statement every year in the Form CAA 8 along with the required fees with the Registrar of Companies as prescribed in the Companies (Registration offices and fees) Rules 2014 within 210 days from the end of each financial year.

32. The petition stands disposed of in the above terms.

Let copy of the order be served to the parties.

Sd/-

DR. BINOD KUMAR SINHA
MEMBER (TECHNICAL)

Sd/-

SH. P.S.N. PRASAD
MEMBER (JUDICIAL)